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ENGROSSED HOUSE  
BILL NO. 3469

and

Green of the Senate

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

Section 318.1. A. Any person who drills or operates any well for the exploration, development or production of oil or gas, or as an injection or disposal well, within this state, shall furnish in writing, on forms approved by the Oklahoma Corporation Commission, his or her agreement to drill, operate and plug wells in compliance

1 with the rules of the Commission and the laws of this state,  
2 together with evidence of financial ability to comply with the  
3 requirements for plugging, closure of surface impoundments, removal  
4 of trash and equipment as established by the rules of the Commission  
5 and by law. To establish evidence of financial ability, the  
6 Commission shall require:

7 1. Category A surety, which shall include a financial statement  
8 listing assets and liabilities, and including a general release that  
9 the information may be verified with banks and other financial  
10 institutions. The statement shall prove a net worth of not less  
11 than Fifty Thousand Dollars (\$50,000.00). Category A surety will no  
12 longer be accepted as valid form of surety for new operators to  
13 select beginning November 1, 2025. All current operators who have  
14 valid Category A surety and are in good standing with the Commission  
15 will be able to retain their Category A surety for the time they are  
16 a valid operator in the State of Oklahoma. Any operator eligible to  
17 maintain Category A surety may voluntarily elect to convert to  
18 Category B surety upon written notice to the Commission. An  
19 operator making such election shall retain the right to revert to  
20 Category A surety without penalty or additional qualification  
21 requirements, provided the operator submits written notice of  
22 reversion within three (3) years of the effective date of the  
23 election and remains in good standing with the Commission. Upon  
24

1 expiration of the three-year period, the operator shall be  
2 permanently subject to Category B surety requirements; or

3 2. Category B surety, which shall include an irrevocable  
4 commercial letter of credit, cash, a cashier's check, a Certificate  
5 of Deposit, other negotiable instrument, or a blanket surety bond.  
6 Except as provided in paragraph 1 of subsection B or subsection C of  
7 this section, amount of such letter of credit, cash, cashier's  
8 check, certificate, bond, receipt or other negotiable instrument  
9 shall be based on the number of wells that the person operates and  
10 shall have the option of using the phase-in schedule as follows:

11 a. for one to ten wells, Twenty-five Thousand Dollars  
12 (\$25,000.00),

13 b. for eleven to fifty wells, operators shall post  
14 Category B surety in the amount of Thirty-three  
15 Thousand Three Hundred Dollars (\$33,300.00) no later  
16 than the due date of the operator's Form 1006B  
17 occurring during the calendar year 2026; on the due  
18 date of the operator's Form 1006B for the year 2027,  
19 operators shall post Category B surety in the amount  
20 of Forty-one Thousand Six Hundred Dollars  
21 (\$41,600.00); on the due date of the operator's Form  
22 1006B for the year 2028, operators shall post Category  
23 B surety in the full amount of Fifty Thousand Dollars  
24 (\$50,000.00),

- c. for fifty-one to one hundred wells, operators shall post Category B surety in the amount of Fifty Thousand Dollars (\$50,000.00) no later than the due date of the operator's Form 1006B occurring during the calendar year 2026; on the due date of the operator's Form 1006B for the year 2027, operators shall post Category B surety in the amount of Seventy-five Thousand Dollars (\$75,000.00); on the due date of the operator's Form 1006B for the year 2028, operators shall post Category B surety in the full amount of One Hundred Thousand Dollars (\$100,000.00), and
- d. for more than one hundred wells, operators shall post Category B surety in the amount of Sixty-six Thousand Five Hundred Dollars (\$66,500.00) no later than the due date of the operator's Form 1006B occurring during the calendar year 2026; on the due date of the operator's Form 1006B for the year 2027, operators shall post Category B surety in the amount of One Hundred Eight Thousand Dollars (\$108,000.00); on the due date of the operator's Form 1006B for the year 2028, operators shall post Category B surety in the full amount of One Hundred Fifty Thousand Dollars (\$150,000.00) .

1 By the end of the year in 2028, all Category B operators shall be  
2 required to post surety in the full amounts specified in paragraph 2  
3 of this subsection, based upon the number of wells operated. The  
4 Commission is authorized to determine a higher amount of Category B  
5 surety based upon the past performance of the operator and its  
6 insiders and affiliates regarding compliance with the laws of this  
7 state, and any rules promulgated thereto including, but not limited  
8 to, the drilling, operation and plugging of wells, closure of  
9 surface impoundments or removal of trash and equipment, provided  
10 that such higher amount shall not exceed One Hundred Fifty Thousand  
11 Dollars (\$150,000.00). Any instrument shall constitute an  
12 unconditional promise to pay and be in a form negotiable by the  
13 Commission.

14 B. 1. The Commission upon certification by any operator  
15 subject to Category B surety that its plugging liability statewide  
16 is less than the amount based on the number of wells operated as  
17 specified in this section may allow said operator to provide  
18 Category B type surety in an amount less than the amount required by  
19 this section, but at least sufficient to cover the estimated cost of  
20 all plugging, closure, and removal operations currently the  
21 responsibility of that operator. The liability certification  
22 referred to in this subsection shall take the form of an affidavit  
23 from a licensed well plugger estimating the costs of all plugging,  
24 closure, and removal operations of the operator requesting such

1 relief. This alternative amount shall be modified upward upon the  
2 assumption of additional operations by such operator, the maximum  
3 amount of Category B surety to be posted not to exceed One Hundred  
4 Fifty Thousand Dollars (\$150,000.00).

5 2. New operators, operators who have outstanding fines or  
6 contempt citations and operators whose insiders or affiliates have  
7 outstanding contempt citations or fines as of June 7, 1989, shall be  
8 required to post Category B surety.

9 3. Operators using Category A surety who are assessed a fine of  
10 Two Thousand Dollars (\$2,000.00) or more and who do not pay the fine  
11 within the specified time shall be required to post a Category B  
12 surety within thirty (30) days of notification by the Commission.

13 C. For good cause shown concerning pollution or improper  
14 plugging of wells by the operator posting either Category A or B  
15 surety or by an insider or affiliate of such operator, the  
16 Commission, upon application of the Director of the Oil and Gas  
17 Conservation Division, after notice and hearing, may require the  
18 filing of additional Category B surety in an amount greater than  
19 Twenty-five Thousand Dollars (\$25,000.00) but not to exceed One  
20 Hundred Fifty Thousand Dollars (\$150,000.00).

21 D. If the Commission determines that a blanket surety bond is  
22 required, the bond shall be conditioned on the fact that the  
23 operator shall cause the wells to be plugged and abandoned surface  
24 impoundments to be closed, and trash and equipment to be removed in

1 accordance with the laws of this state and the rules of the  
2 Commission. Each bond shall be executed by a corporate surety  
3 authorized to do business in this state and shall be renewed and  
4 continued in effect until the conditions have been met or release of  
5 the bond is authorized by the Commission.

6 E. The agreement provided for in subsection A of this section  
7 shall provide that if the Commission determines that the person  
8 furnishing the agreement has neglected, failed, or refused to plug  
9 and abandon, or cause to be plugged and abandoned, or replug any  
10 well or has neglected, failed or refused to close any surface  
11 impoundment or removed or cause to be removed trash and equipment in  
12 compliance with the rules of the Commission, then the person shall  
13 forfeit from his or her bond, letter of credit or negotiable  
14 instrument or shall pay to this state, through the Commission, for  
15 deposit in the State Treasury, a sum equal to the cost of plugging  
16 the well, closure of any surface impoundment or removal of trash and  
17 equipment. The Commission may cause the remedial work to be done,  
18 issuing a warrant in payment of the cost thereof drawn against the  
19 monies accruing in the State Treasury from the forfeiture or  
20 payment. Any monies accruing in the State Treasury by reason of a  
21 determination that there has been a noncompliance with the  
22 provisions of the agreement or the rules of the Commission, in  
23 excess of the cost of remedial action ordered by the Commission,  
24 shall be credited to the Oil and Gas Revolving Fund. The Commission

1 shall also recover any costs arising from litigation to enforce this  
2 provision. Provided, before a person is required to forfeit or pay  
3 any monies to the state pursuant to this section, the Commission  
4 shall notify the person at his or her ~~last-known~~ last known address  
5 of the determination of neglect, failure or refusal to plug or  
6 replug any well, or close any surface impoundment or remove trash  
7 and equipment and said person shall have ten (10) days from the date  
8 of notification within which to commence remedial operations.  
9 Failure to commence remedial operations shall result in forfeiture  
10 or payment as provided in this subsection.

11 F. It shall be unlawful for any person to drill or operate any  
12 oil or gas well subject to the provisions of this section, without  
13 the evidence of financial ability required by this section. The  
14 Commission shall shut in, without notice, hearing or order of the  
15 Commission, the wells of any such person violating the provisions of  
16 this subsection and such wells shall remain shut in for  
17 noncompliance until the required evidence of Category B surety is  
18 obtained and verified by the Commission.

19 G. If title to property or a well is transferred, the  
20 transferee shall furnish the evidence of financial ability to plug  
21 the well and close surface impoundments required by the provisions  
22 of this section, prior to the transfer.

23 H. As used in this section:  
24



1        1. "Affiliate" means an entity that owns twenty percent (20%)  
2 or more of the operator, or an entity of which twenty percent (20%)  
3 or more is owned by the operator; and

4        2. "Insider" means officer, director, or person in control of  
5 the operator; general partners of or in the operator; general or  
6 limited partnership in which the operator is a general partner;  
7 spouse of an officer, director, or person in control of the  
8 operator; spouse of a general partner of or in the operator;  
9 corporation of which the operator is a director, officer, or person  
10 in control; affiliate, or insider of an affiliate as if such  
11 affiliate were the operator; or managing agent of the operator.

12        SECTION 2. It being immediately necessary for the preservation  
13 of the public peace, health or safety, an emergency is hereby  
14 declared to exist, by reason whereof this resolution shall take  
15 effect and be in full force from and after its passage and approval.

16 COMMITTEE REPORT BY: COMMITTEE ON ENERGY  
17 April 23, 2026 - DO PASS  
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